Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	30 out of 36
Breakeven failure rate	38%
Average drop	13%
Volume trend	Downward
Pullbacks	63%
Percentage meeting price target	44%

Have you ever heard someone say, “I just happened to be in the right place at the right time”? Perhaps you have even said it yourself. Investing is a lot like that—being in the right stock just before it takes off. The ascending triangle can show you where the right place is at the right time.

However, the Results Snapshot shows a pattern that doesn't perform up to the hype. The best performance rank is 16, where 1 is best, and that's for upward breakouts in bull markets. Downward breakouts are even worse, so don't go there. The breakeven failure rate rank (not shown) is dreadful for both up and down breakouts, ranking 27 and 35 (next to last), respectively.

At one time, this chart pattern used to be one of my favorites but no longer. It just doesn't perform as well as I'd hoped. Don't let my experience persuade you. Maybe you'll have better luck, especially in your market and using your trading style. Let's take a tour of the pattern first before I discuss the details.

Tour

Figure 64.1 shows a good example of an ascending triangle. A horizontal trendline drawn across the minor highs and an up-sloping trendline connecting the minor lows form the characteristic triangular pattern. Volume diminishes as price bounces between resistance at the top and support at the bottom of the pattern. A premature breakout gives a hint of the coming action; less than 2 weeks later, price breaks out again and moves higher.